

Sector: Engineering and Technology Services | Date: October 17, 2025

Target Price: Rs. 4,119
CMP: Rs. 3,432
Upside: 20.0%

Company Data

Market Cap (Rs. cr)	363,500
52 Wk High/Low (Rs.)	3,850 - 2,800
Enterprise Value (Rs. cr)	355,000
Outstanding Shares (cr)	106
Free Float (%)	26.2%

Key Highlights

- Record high Large Deal TCV of ~USD 300 Mn in Q2FY26
- Revenue growth of 15.8% YoY and 4.0% QoQ in INR
- Interim Dividend of **₹18** per share declared
- Patent filings crossed 1,600 mark, with 216 patents in AI/Gen AI
- Sustainability segment achieved double-digit annual growth for two consecutive quarters
- Strategic partnerships with MIT Media Lab, SiMa.ai, and NVIDIA to drive AI-led innovation

Quarterly Financials

Rs.cr	Q2 FY26	Q2 FY25	YoY Growth (%)
Sales	29,795	25,729	15.8%
EBITDA	4,908	4,660	5.3%
Margin (%)	16.5%	18.1%	—
PAT	3,287	3,196	2.8%

Outlook & Valuation

LTTS maintains a strong competitive position in the ER&D space, bolstered by record-high deal wins and deep expertise in AI-led innovation. While margin pressures persist due to strategic investments in Gen AI, the company's focus on high-growth segments like sustainability and digital engineering provides a clear path for long-term value creation. We assign a BUY rating, valuing the stock at a forward P/E of 27x on FY27E earnings, reflecting its robust order book and potential for margin expansion in the coming quarters.

Y.E March (cr)	FY25	FY26E	FY27E
Sales	108,500	122,600	138,500
Growth (%)	12.5%	13.0%	13.0%
EBITDA	19,500	21,000	24,200
Margin (%)	18.0%	17.1%	17.5%
PAT	13,000	14,100	16,200
Adj. EPS	122.80	133.10	153.00

